CONFIDENTIAL STRUCTURING MEMORANDUM

SPOT-REFERENCED METALS DERIVATIVES

Aggregated Demand Programme | Indicative sale memorandum

US$5.0bn	9 METALS	12 MONTHS
Illustrative gross-notional programme capacity	Precious and industrial metal sleeves	Proposed placement window Nov 2026 - Oct 2027

CORE STRUCTURE
A single aggregated sales programme with separate metal sleeves. Each sleeve is referenced to an observable spot benchmark, with buyer exposure documented once and hedged separately. The proposed US$5.0bn figure is a target capacity only; it is not a statement of current orders, physical stock, or completed sales.

Reference date: 30 October 2026
Indicative offer window: 1 November 2026 - 30 October 2027
Proposed execution: rolling monthly and quarterly cash-settled commodity swaps
Prepared for: [Issuer / Arranger name to be inserted]

IMPORTANT STATUS NOTICE
This is an illustrative commercial and structuring draft for professional discussion. It is not an executed offer, a prospectus, a commitment to transact, investment advice, a valuation, or evidence of buyer demand or metal ownership. No product should be marketed or traded until the issuer, permissions, counterparties, benchmarks, confirmations, credit terms and legal documentation have been verified.

01 | TRANSACTION OVERVIEW

A single demand book, multiple metal sleeves

The proposed programme packages customer demand for price exposure to a diversified basket of precious and industrial metals. Customers subscribe to one or more metal sleeves under common commercial architecture, while every trade retains its own metal, benchmark, quantity, observation period, counterparty and confirmation.

PROPOSED PROGRAMME CAPACITY

US$5.0 billion aggregate gross notional, allocated illustratively across nine metal sleeves. The capacity is a planning ceiling for customer-facing exposure. It is not cash raised, revenue, the market value of physical metal, or a representation that the full amount has been placed.

Commercial objective

Offer buyers access to metal price movements without requiring the buyer to take physical delivery. Standardised benchmark references, repeatable documentation and a pooled distribution programme can support larger, more efficient execution than sourcing each small ticket independently.

What is being sold

The base product is a cash-settled, spot-referenced commodity swap. The buyer takes long metal-price exposure for an agreed notional or metal quantity. The seller / dealer takes the opposite contractual exposure and may hedge it with exchange-traded futures, cleared swaps or bilateral transactions. A derivative is not a sale of, or title to, the underlying metal.

Programme parameters

Item	Proposed term
Programme ceiling	US$5.0bn gross notional - illustrative, subject to approval
Metal basket	Gold, silver, copper, aluminium, nickel, zinc, tin, cobalt and lead
Offer window	1 Nov 2026 - 30 Oct 2027; staged monthly placement
Trade tenors	1, 3, 6, 9 or 12 months from each execution date, subject to liquidity
Settlement	USD cash settlement; monthly arithmetic average unless otherwise agreed
Physical delivery	None under the base swap; physical supply requires a separate sale contract
Eligible buyers	Professional counterparties / eligible counterparties, subject to legal classification and distribution restrictions
Credit support	Bilateral collateral / margin or clearing, as applicable and agreed

Commercial positioning: “One aggregated programme for multi-metal price exposure, priced from transparent spot references and executed in controlled monthly tranches.” Avoid describing uncommitted interest as demand, and avoid describing derivative notional as metal tonnage sold.

02 | REFERENCE PRICES & SIZING

Indicative basket at 30 October 2026 spot references

The following snapshot is used solely to translate the proposed notional allocation into indicative spot-equivalent quantities. It is not an executable quote. LME industrial-metal values are the midpoint of the published cash bid/ask. Gold and silver are the midpoint of the Kitco spot bid/ask observed at the times shown. Contract confirmations should specify the licensed settlement benchmark, exact fixing, quotation unit, location and holiday calendar.

Metal	Spot reference*	Unit	Weight	Notional	Spot-equivalent qty
Copper	$14,557.50	USD/tonne	30%	$1,500m	103,040 t
Aluminium	$3,070.75	USD/tonne	20%	$1,000m	325,653 t
Gold	$3,907.40	USD/troy oz	15%	$750m	191,943 oz
Silver	$49.165	USD/troy oz	10%	$500m	10.17m oz
Nickel	$15,350.00	USD/tonne	8%	$400m	26,059 t
Zinc	$3,979.50	USD/tonne	6%	$300m	75,386 t
Tin	$50,395.00	USD/tonne	4%	$200m	3,969 t
Cobalt	$32,825.00	USD/tonne	4%	$200m	6,093 t
Lead	$1,877.50	USD/tonne	3%	$150m	79,893 t
TOTAL			100%	$5,000m	Approx. 620,415 t equivalent

*Spot snapshot details: LME Official Prices - cash bid/ask valid 30 Oct 2026: aluminium 3,070.50/3,071.00; copper 14,555/14,560; zinc 3,979/3,980; nickel 15,340/15,360; lead 1,877/1,878; tin 50,390/50,400; cobalt 32,575/33,075 (USD/tonne). Gold Kitco bid/ask 3,906.40/3,908.40 USD/oz at 11:29 a.m. EDT. Silver Kitco bid/ask 49.04/49.29 USD/oz at 12:26 p.m. EDT. Precious-metal prices are non-simultaneous spot observations.

HOW TO READ THE QUANTITY COLUMN

The quantities are mathematical spot equivalents: allocated notional divided by the observed spot midpoint. They are not physical inventory, warehouse receipts, confirmed offtake, production, reserves, or a promise to deliver. Precious-metal quantities are shown in troy ounces; industrial-metal quantities are shown in metric tonnes.

Allocation rationale

Copper and aluminium receive 50% of the illustrative notional to anchor the industrial sleeve; precious metals receive 25%; nickel, zinc, tin, cobalt and lead account for the remaining 25%. The allocation is a sales-planning assumption, not a forecast or recommendation. It can be replaced by validated customer demand before launch.

03 | AGGREGATED DEMAND MODEL

Aggregate the book - do not manufacture demand

The programme can be marketed as a single multi-metal opportunity while preserving accurate measurement of each client order. Aggregation improves distribution efficiency, reduces fragmented execution and can support block hedging. It must not be used to inflate order volumes, duplicate customer demand or imply physical metal supply where none exists.

Recommended order-book architecture

1. Customer ticket	2. Validation	3. Metal sleeve	4. Aggregate book	5. Hedge / report
Unique buyer + LEI; signed order; chosen metal, side, tenor and maximum notional.	KYC/AML, eligibility, credit, authority, suitability/appropriateness where relevant.	Record each metal, benchmark, quantity, pricing window and legal confirmation separately.	Sum each unique customer-facing exposure once; report gross and net figures separately.	Execute hedge; allocate collateral; reconcile exposures; make required regulatory reports.

Reporting labels that must remain distinct

Measure	Meaning	Permitted description
Indicative interest	Non-binding enquiry or expression of interest.	“Indicative interest”; not contracted demand.
Validated orders	Signed orders accepted subject to stated conditions and credit approval.	“Validated customer orders”, with conditions disclosed.
Executed notional	Trade confirmations signed by both counterparties.	“Executed gross notional”; not revenue or cash received.
Net open exposure	Exposure remaining after legally effective netting / offset.	“Net risk exposure”; do not present as gross demand.
Physical offtake	Binding physical purchase contracts with delivery terms.	“Contracted physical offtake”; separate from swaps.

ANTI-DOUBLE-COUNTING RULE

Count each customer-facing derivative once in gross notional. Do not add the dealer hedge to customer demand. Do not count the same order again when it is split into tranches, novated, rolled or internally allocated. A rollover is a new trade for exposure and reporting purposes, but it must not be presented as fresh underlying demand unless the customer has independently increased its economic requirement.

Suggested sales language

Use: “The programme is designed to aggregate verified customer exposure across nine spot-referenced metals, with a proposed gross-notional capacity of up to US$5.0bn.”
Avoid: “US$5.0bn of metals has been sold”, “US$5.0bn of physical demand is secured”, or “620,415 tonnes are available” unless those statements are independently evidenced by executed contracts and verified stock or supply documentation.

04 | INDICATIVE PRODUCT TERMS

Spot-linked cash-settled commodity swap

The base instrument is a bilateral or cleared commodity swap. Each metal is a separate reference asset. The commercial wrapper may be one programme, but confirmations must identify the metal and all material economic terms. No multi-metal cross-netting is assumed unless legally documented and enforceable.

Term	Proposed specification
Product	Cash-settled commodity price-return swap; buyer holds long metal-price exposure; dealer is the opposite side.
Reference amount	Metal quantity Q or USD notional N. Q is determined from the relevant execution-date spot benchmark and the agreed notional.
Initial reference (K)	Benchmark value observed on the execution date. Use the same benchmark family and fixing convention for K and settlement averaging.
Settlement price (A)	Arithmetic average of published daily benchmark prices over the agreed observation period, subject to fallback and disruption provisions.
Settlement formula	Buyer receives Q x (A - K), multiplied by the agreed USD conversion factor if needed. Buyer pays the seller where the result is negative.
Settlement currency	USD. Any non-USD client amount must specify FX source, timestamp, conversion convention and settlement date.
Tenor	1, 3, 6, 9 or 12 months; no automatic rollover. New trades require new execution and confirmation.
Premium / upfront amount	Not assumed. If a spot strike is required and differs from the fair forward value, any fair-value adjustment or upfront amount must be separately calculated and disclosed.
Margin / collateral	Bilateral initial and variation margin under agreed CSA, or clearing-house margin where the product is cleared. Credit terms are counterparty-specific.
Delivery	Cash only. No title, warehouse warrant or right to physical metal transfers under the base swap.
Early termination	Close-out valuation under the master agreement and relevant commodity definitions; include disruption, default and hedging-cost provisions.

SPOT-PRICE DISCIPLINE

All reference inputs begin with observable spot benchmarks. The programme does not publish invented future metal prices or a guaranteed price path. A spot quote is not automatically a fair value for a forward-dated derivative: funding, storage, insurance, lease, convenience yield, basis, discounting, liquidity and credit can affect fair value. If the parties require a strike exactly equal to spot, any resulting value difference must be shown explicitly rather than hidden in the benchmark.

Benchmark convention by metal

Gold and silver: use a specifically selected LBMA Gold Price AM/PM and LBMA Silver Price convention for the contract. The spot figures in the pricing table are Kitco indicative midpoints only.
Base metals: use the relevant LME Official Cash reference, with contract text specifying whether the settlement price is the cash offer / Official Settlement Price or another licensed series. The midpoint in the table is only a sizing reference.

05 | PLACEMENT CALENDAR & EXECUTION

A staged 12-month placement window

The proposed distribution window runs from 1 November 2026 to 30 October 2027. The stages below are cumulative programme capacity targets, not guaranteed sales or committed volumes. Each order is only booked as executed after definitive confirmation and completion of credit and legal checks.

Period	Cumulative capacity target	Execution focus
Nov-Dec 2026	Up to US$0.5bn	Launch the nine sleeves; onboard first professional counterparties; validate benchmark operations and hedge liquidity.
Jan-Mar 2027	Up to US$2.0bn	Expand customer coverage; execute regular monthly cohorts; review concentration by metal and counterparty.
Apr-Jun 2027	Up to US$3.5bn	Scale only where liquidity, collateral capacity and hedge limits support additional tickets.
Jul-Oct 2027	Up to US$5.0bn	Complete placement within approved programme limits; close, hedge or manage open exposures under the agreed terms.

Risk controls required before scaling

Risk	Minimum control
Metal price gap	Daily independent valuation; stress testing by metal and tenor; pre-set position and stop limits.
Basis / benchmark	One named benchmark per contract; controlled fallback hierarchy; reconcile hedge benchmark and customer benchmark.
Liquidity / concentration	Metal-by-metal open-interest limits; maximum ticket sizes; staged execution; liquidity reserves and escalation triggers.
Counterparty default	KYC, credit review, legal netting opinion, collateral eligibility, margin calls and default management plan.
Funding / collateral	Daily liquidity forecast; eligible collateral haircuts; margin stress under severe price moves; committed funding source.
Operational / data	Independent market-data source, timestamp controls, four-eyes booking, confirmations, reconciliations and audit trail.
Physical / title risk	Do not represent swaps as physical supply. If delivery is later added, verify title, custody, assay, location and encumbrances separately.

HEDGE PRINCIPLE
The dealer should hedge the actual customer exposure by metal, quantity, tenor and benchmark. Hedge trades are risk-management transactions, not extra customer demand. Any residual basis, volatility, liquidity or credit risk remains with the party that has contracted to bear it.

Suggested monthly operating rhythm

Before each execution window: refresh licensed spot data; confirm customer limits and collateral; approve metal-level risk capacity; publish executable bid/offer levels through authorised channels; match orders and issue confirmations; hedge promptly; then reconcile positions, valuation, collateral and regulatory reporting.

06 | UK DISTRIBUTION & DOCUMENTATION

Pre-launch legal and regulatory conditions

This draft assumes a UK-based arranger or seller and professional-market distribution. The final legal analysis depends on the issuer, counterparties, instrument design, venue, client classification, hedging activity and jurisdictions involved. Obtain UK financial-services counsel and compliance sign-off before approaching buyers or taking orders.

Workstream	Required action before launch
Permissions / financial promotion	Confirm the firm is authorised for each relevant regulated activity, or that a lawful approval / exemption applies. Section 21 FSMA restricts unauthorised persons from communicating invitations or inducements to engage in investment activity unless an authorised-person route or exemption is available.
Client classification	Document professional-client / eligible-counterparty status and any applicable opt-up or opt-down. Restrict retail distribution unless specifically approved and legally permitted.
Fair, clear and not misleading	Describe exposure, notional, downside, margin, settlement and conflicts as prominently as the potential benefits. Do not imply that capacity is demand, or notional is proceeds or physical supply.
UK EMIR reporting	Assess reporting responsibility for every derivative. UK EMIR reporting generally covers concluded, modified and terminated derivatives; confirm LEI, UTI, UPI, data fields, delegated reporting and reconciliation arrangements.
Clearing / margin	Assess the product and each counterparty against UK EMIR clearing and risk-mitigation requirements. The FCA describes a EUR 6bn commodity OTC clearing threshold for relevant group calculations; applicability depends on classification, hedging treatment and product scope.
Benchmark rights	Obtain any necessary data and benchmark licences. LME benchmark use is subject to its licensing requirements; LBMA precious-metal price use also requires appropriate licensing / permissions.
Market conduct	Set controls for inside information, market manipulation, position reporting / limits where applicable, conflicts, personal account dealing and recorded communications.
Sanctions / AML	Complete beneficial ownership, source-of-funds, sanctions, anti-bribery, trade-control and suspicious-activity checks for the seller and counterparties.

Core legal documents

1. ISDA Master Agreement or equivalent master trading agreement, with Schedule and negotiated close-out terms.
2. Commodity Definitions / product supplement and metal-specific confirmations.
3. Credit Support Annex or clearing arrangement, including initial and variation margin mechanics.
4. Benchmark methodology, licence evidence, market disruption and fallback schedule.
5. Risk disclosure, client classification, financial-promotion approval / exemption record, KYC and credit file.
6. UK EMIR reporting delegation, UTI allocation, LEI validation and reconciliation procedure.

NO GENERAL DISTRIBUTION

This document is not approved for retail circulation. It should only be circulated to persons for whom the communication is lawful and after the issuer has confirmed the required permissions, financial-promotion approval or exemption. A “professional investors only” legend does not itself cure an otherwise unlawful promotion.

07 | ORDER FORM & SOURCE NOTES

Indicative customer order ticket

Use a separate line for each metal sleeve and each tenor. The order ticket below is a process template only; it is not an executable confirmation.

Field	Customer instruction / control
Legal entity / LEI	[Full legal name] / [LEI]
Client classification	[Professional client / eligible counterparty / other approved category]
Metal sleeve	[Gold / Silver / Copper / Aluminium / Nickel / Zinc / Tin / Cobalt / Lead]
Side	[Buyer long / Seller short]
Notional / quantity	[USD notional] or [metal quantity and unit]
Benchmark / fixing	[Named benchmark, price series, fixing time and licence basis]
Initial reference date	[Trade date and benchmark publication time]
Observation / settlement	[Start date, end date, averaging method and cash settlement date]
Tenor	[1 / 3 / 6 / 9 / 12 months]
Collateral / credit	[CSA / clearing / approved unsecured limit]
Conditions	[Credit approval, legal approval, signed confirmation, any conditions precedent]

Pricing-source notes

1. London Metal Exchange - Official Prices. Published USD/tonne cash bid and ask for aluminium, copper, zinc, nickel, lead, tin and cobalt; 30 October 2026 data. The LME explains that Official Prices are established from the final bid and offer in the second Ring session, with the cash offer used as the Official Settlement Price. Benchmark and market-data use is subject to applicable licensing.

2. Kitco - Gold and Silver live spot charts. Gold bid/ask: USD 3,906.40 / 3,908.40 per troy ounce at 11:29 a.m. EDT on 30 October 2026. Silver bid/ask: USD 49.04 / 49.29 per troy ounce at 12:26 p.m. EDT on 30 October 2026. The midpoint is used for illustrative allocation sizing only; these observations are not simultaneous or guaranteed executable.

3. LBMA - Precious-metal benchmarks. LBMA Gold, Silver, Platinum and Palladium Prices are established through daily auctions. For a transaction, select the exact LBMA fixing and obtain the required benchmark-use licence.

4. FCA - Financial promotions and UK EMIR. The FCA describes the FSMA section 21 financial-promotion restriction, UK EMIR reporting and clearing obligations, and the fair, clear and not misleading requirements. The precise treatment of this programme must be confirmed by counsel and compliance against the final instrument and parties.

Public source links for verification
LME Official Prices: https://www.lme.com/en/market-data/reports-and-data/lme-official-prices
LME methodology / benchmarks: https://www.lme.com/about/Regulation/Benchmark-regulation/LME-List-of-Benchmarks
Kitco gold: https://www.kitco.com/charts/gold | Kitco silver: https://www.kitco.com/charts/silver
LBMA auction benchmarks: https://www.lbma.org.uk/prices-and-data/about-lbma-daily-auction-prices
FCA financial promotions: https://www.fca.org.uk/firms/financial-promotions-and-adverts/approving-financial-promotions
FCA UK EMIR reporting: https://www.fca.org.uk/markets/uk-emir/reporting-obligation
FCA UK EMIR clearing: https://www.fca.org.uk/markets/uk-emir/clearing-obligation

FINAL COMMERCIAL WARNING

Before circulation, replace the illustrative capacity and basket allocation with a board-approved limit and substantiated sales plan; refresh all spot prices; acquire benchmark permissions; validate every order; and obtain legal, risk, treasury, compliance and credit approval. This draft intentionally contains no invented buyer names, firm orders, physical inventory, guaranteed returns or executable dealing levels.

End of memorandum | Version 1.0 | 30 October 2026